St Ignatius' College
Riverview

2020

HIGHER
SCHOOL
CERTIFICATE
FORMATIVE TASK

Business Studies

General Instructions

- Working time – 50 mins
- Write using black pen
- Calculators approved by NESA may be used

Total marks: 40

Section I – 10 marks

- Attempt Questions 1–10
- Allow about 12 minutes for this section

Section II – 30 marks

- Attempt Questions 11-13
- Allow about 38 minutes for this section

Section I

10 marks
Attempt Questions 1–10
Allow about 12 minutes for this section

Use the multiple-choice answer sheet for Questions 1–10.

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1 Make Your Own Sandwiches has installed a glass panel so customers can see their sandwiches being made.

Which of the following describes the impact on the operations process?

(A) Increased costs due to increased variety

(B) Increased sales due to increased volume

(C) Increased costs due to increased visibility

(D) Increased sales due to increased variation in demand

2 A factory manager of a shoe store has noticed that production volumes are down. She makes adjustments to the operations process so that actual performance is closer to planned performance.

Which operations processes are being carried out?

(A) Controlling and scheduling

(B) Monitoring and controlling

(C) Monitoring and improvement

(D) Controlling and improvement

3 Materials, information and customers are

(A) transformation processes.

(B) transformed resources.

(C) transforming resources.

(D) an influence on operations.

4 Which of the following best describes product layout in operations?

(A) The production process is arranged in an assembly line.

(B) The production process was established using a Gantt chart.

(C) The production process is organised by the function of the equipment.

(D) The production process is fixed so equipment and employees come to the product produced.

5 Toyland produces toy cars and has recently purchased new technology as part of their production process.

The objective in purchasing this technology was most likely to

(A) decrease the average cost of production.

(B) increase the average cost of production.

(C) increase the critical path of production.

(D) decrease the cost of logistics in the supply chain.

6 Steed's Office Supplies in Lane Cove sells all types of school supplies. When accepting orders of pens the owner fills up the stationary cabinet on top of the inventory already on the shelves.

Which of the following inventory management strategies is this business using?

(A) Just-in-time

(B) First-in-first-out

(C) Last-out-first-in

(D) Last-in-first-out

7 Slidez Pty Ltd is a company that manufactures men's shoes. They use a documented system to ensure quality in production.

Which of the following best identifies the quality management strategy that the business is using?

(A) Quality control

(B) Quality assurance

(C) Quality management

(D) Quality improvement

8 A business follows a cost leadership strategy.

Which of the following would be the focus of operations management?

(A) Increased focus on variety

(B) Increased focus on customisation

(C) Increased focus on economies of scale

(D) Increased focus on corporate social responsibility

9 Paul's Milk decides to offer a new type of almond milk product as a result of consulting with their customers.

What impact could this differentiation strategy have on operations?

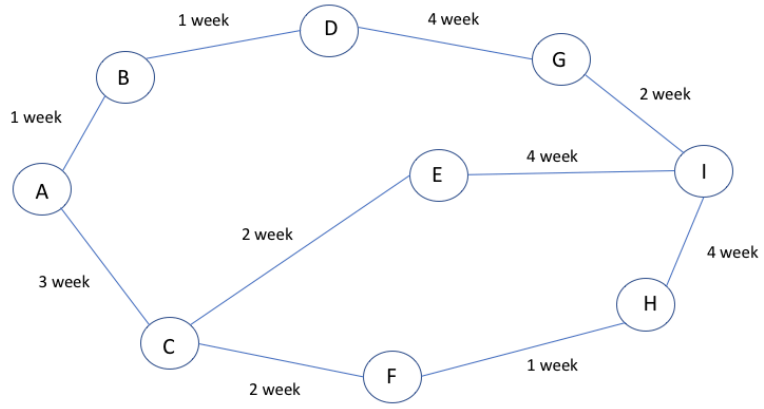
(A) The company will need to source new transformed resources.

(B) The company will need to reduce visibility in its operations process.

(C) The company will need to convert from a product layout to a process layout.

(D) The company has changed due to new information from transforming resources.

10 Refer to the critical path diagram for the project below in order to answer Question 10.



What is the shortest time to complete the project?

(A) 8 weeks

(B) 9 weeks

(C) 10 weeks

(D) 15 weeks

Business Studies

Student Name _____

Section II
30 marks
Attempt Questions 11-13
Allow about 38 minutes for this section

Question 11 (10 marks)

CheapMart is a giant European supermarket chain which has recently entered the Australian market and is eroding market share from Australia's leading supermarkets. CheapMart competes primarily by having the lowest prices.

(a) Outline a situation in which FIFO (first-in-first-out) would be an appropriate inventory management system in a supermarket. **2**

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(b) Explain TWO ways in which globalisation could have an impact on the operations of Australian supermarkets. **4**

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Question 11 continues on the next page

Question 11 (continued)

(c) A recent TV documentary has revealed that Australian supermarkets are being cleaned by outsourced businesses who pay their employees below minimum wage.

Explain the legal and ethical implications that arise for Australian supermarkets as a result of this revelation. **4**

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End of Question 11

Please turn over

Student Name _____

Question 12 (6 marks)

(a) Why are human resources a transforming resource? **2**

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(b) Explain the impacts of warranties on the operations of a car manufacturer. **4**

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End of Question 12

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Student Name _____

Question 13 (14 marks)

(a) Distinguish between improvement and control in operations processes. **2**

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(b) Outline how supply chain management can be used to improve performance objectives in operations. **4**

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Question 13 continues on the next page.

Question 13 (continued)

(c) With reference to a business you have studied, explain how global sourcing impacts operations management. **4**

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(d) Discuss the impacts of holding stock for a business. **4**

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End of Question 13
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